

Week ending: 03rd September 2021

Weekly Fixed Income Note

Key Highlight:

T-bills remained undersubscribed for the second week running with an overall subscription rate increasing to **99.48%** compared to the **36.5%** recorded last week. The **91-day** T-bill was oversubscribed recording **100.79%**, while the **182-day** and the **364-day** T-bills were undersubscribed recording **99.49%** and **98.95%,** respectively. We continue to see a sustained appetite for borrowing by the government as evidenced by the CBK accepting bids worth **KES 23.871B** against the **KES 23.874B** worth of bids received. Notably, all the yields were on the rise with the **91-day, 182-day** and **364-day** rates edging up by **3.30bps, 3.10bps** and **2.50bps** to **6.77%, 7.23%** and **7.52%**, respectively.

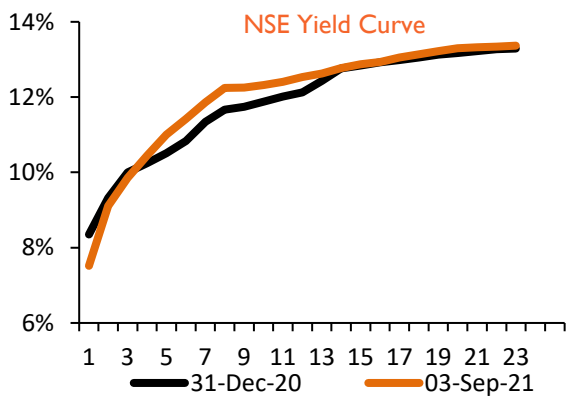
The Central Bank of Kenya issued a new infrastructure bond **IFB1/2021/21,** with an effective tenor of **15.5 years.** The bidding period is from **20/08/2021** to **07/09/2021** and the coupon rate for the bond will be **market determined**. We expect a high subscription on this issue mainly driven by the tax-free nature of the bond and the prevailing high liquidity in the market. For more analysis on the bidding guidance please click here.

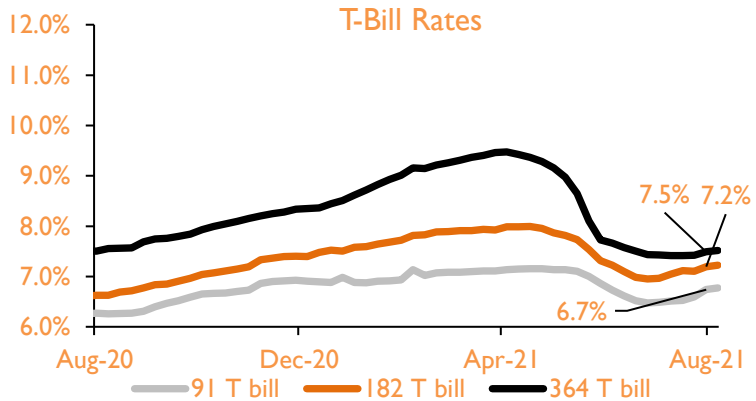
Key Indicators

	Current	Previous	% Change
91- Day	6.77%	6.74%	0.033%
182-Day	7.23%	7.20%	0.031%
364-Day	7.52%	7.49%	0.025%
Interbank Rate	3.33%	3.59%	(0.26%)

Macroeconomic data	Current	Previous
GDP (3Q20 vs. 3Q19)	(1.10%)	5.80%
Inflation (August)	6.57%	6.55%
Private sector credit growth (June)	7.70%	7.10%
Money Supply (June)	6.30%	7.60%

Interest Rates





MACROECONOMIC NEWS

Currency

The Kenya shilling lost ground against the greenback this past week depreciating by **0.19%** to trade at **109.99**. The depreciation against the dollar can be partly attributable to the mismatch in dollar supply from exporters versus dollar demand from energy importers. We expect the local currency to continue under pressure due to the increase in global oil prices, coupled with reduced dollar inflow from key export earning sectors such as agriculture and tourism. The CBK's usable forex reserves currently stand at **USD 8,883** million (**5.43** months of import cover), a **2.27%** week-on-week decrease from **USD 8,986** million **(5.49** months of import cover) recorded last week.

Inflation

Headline inflation for the month of August,2021 increased to **6.57%** from **6.55%,** recorded in July. The outcome was driven by a **10.67%**, **7.93%** and **5.07%** y/y increase in the food and alcoholic beverages, Transport and Housing Utilities indices, respectively. On a month-on-month basis, the education services index recorded a notable **0.35%** increase owing to the increased cost of schools reopening, while the transport index decreased by **0.32%** due to the reduction in bus fares as PSVs resumed carrying at full capacity. Headline inflation is likely to increase marginally on the back of higher food and fuel prices but remain within the government target range of **2.5% - 7.5%**. Fuel prices are expected to edge higher due to the increase in global economic activity which has exerted upward pressure on global oil demand.

Stanbic August PMI

The Stanbic Purchasing Managers' Index (PMI) for the month of August 2021 increased to **51.1** from the **50.6** recorded in July 2021. The uptick is an indication that the Kenyan private sector business conditions expanded at a faster rate than seen in July 2021.The improved growth in the business conditions is attributable to an uptick in the levels of demand across key economic sectors, where a rise in orders from some of the country's trading partners led to an increased export demand. There was a recorded increase in sales leading to an expansion of output, however, there was still an accumulation of backlog that prompted companies to increase their labor force.

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